EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Abulug lies along the northwestern part of the Province of Cagayan. Tulug, the original name of Abulug had been a flourishing fishing village long before Don Juan Salcedo sailed to the mouth of Abulug River in 1572. In 1969, the name "Tulug" was changed into Abulug, including two barangays of Fotol and Capinatan. Abulug has a total land area of 19,969 hectares or 199.69 square meters representing 2.22% of the total area of the province.

B. Scope of Audit

The audit covered the accounts and operations of the Municipality of Abulug for CY 2024 and was aimed at determining whether Management presented fairly the financial statements of the Municipality in adherence to the International Public Sector Accounting Standards (IPSASs), and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audits were conducted to achieve these audit objectives.

C. Financial Highlights

The highlights of the financial condition, financial performance, appropriations, allotments and obligations of the Municipality of Abulug, Cagayan for the year ended December 31, 2024, with comparative figures for CY 2023, are as follows:

Particulars	2024	2023	Increase/ (Decrease)
Financial Position			
Assets	685,692,766.17	591,208,705.39	94,484,060.78
Liabilities	193,911,506.45	115,615,515.39	78,295,991.06
Government Equity	491,781,259.72	475,593,190.00	16,188,069.72
Financial Performance			
Income	196,960,688.39	186,633,272.63	10,327,415.76
Expense	179,307,711.01	163,123,633.50	16,184,077.51
Net Income	17,652,977.38	23,509,639.13	(5,856,661.75)
Appropriations, Allotments and Obligations			
Appropriations	205,333,081.87	191,627,395.00	13,705,686.87
Allotments	190,502,510.33	187,301,266.05	3,201,244.28
Obligations	178,935,924.38	180,640,120.90	(1,704,196.52)

D. Operational Highlights

The major accomplishments of the Municipality for CY 2024, in terms of implementation of programs, projects and activities, are as follows:

Program/ Project/ Activity	Amount
Construction of Drainage Canal of Ballesteros, Consejo Street at Centro	4,249,296.21
Road Concreting of Pacupac East Road 1 at Barangay Guiddam	4,201,237.82
Road Concreting of Bangalan St. at Purok Rose, Barangay Lucban	3,035,141.86
Road Concreting of Pablo St. at Barangay Sta. Filomena	2,683,328.81
Finishing of Sanitary Landfill Facilities	2,266,966.37
Acquisition of Backhoe	1,825,000.00
Road Concreting with Drainage & Retaining Wall of Ballesteros St. at Barangay Centro	1,352,955.93
Road Concreting of Sembrano St. at Alinunu	1,272,663.51
Construction of Drainage Canal at Guiddam	1,182,268.77
Construction of Drainage Canal at Banguian (Phase 2)	1,111,942.20
Road Concreting at Barangay Banguian	1,070,833.76
Total	24,251,635.24

E. Independent Auditor's Report on the Financial Statements

The Auditor rendered a Qualified Opinion on the fairness of presentation of the financial statements of the Municipality of Abulug, Cagayan for the year-ended December 31, 2024 because the accuracy of the reported balance of the Property, Plant and Equipment account amounting to P479,271,861.31 as at December 31, 2024 cannot be determined due to: (1) incomplete inventory report of PPE; (2) non-maintenance of Property Cards for PPE; and (3) non-conduct of the one-time cleansing procedures in its physical inventory, which are contrary to COA Circular No. 2020-006 dated January 31, 2020 and Sections 114 and 124 of the Manual on the New Government Accounting System for LGUs, Volume I, thus, affecting the fair presentation of the LGU's financial statements.

Moreover, the Inventory Report of PPE prepared by the Inventory Committee was not in accordance with the prescribed format, contrary to Section 57 of the Manual on the New Government Accounting System for LGUs, Volume II, hence, rendering the report incomplete and unreliable.

F. Summary of Significant Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. The completeness and accuracy of the Motor Vehicles account as at December 31, 2024 amounting to P7.617 million, could not be ascertained due to deficiencies observed in the recording, valuation, and management of assets, which cast doubts on the reliability of financial reporting and property management practices, exposing the Municipality to risks of loss, misuse, and difficulty in enforcing accountability, to wit:

    a. The non-recording of two (2) ambulances and one (1) patient transport vehicle, acquired by the Municipality through donation from the Department of Health and the Philippine Charity Sweepstakes Offices, with a total cost of P5.969 million;

    b. The non-inclusion of the costs of two (2) Motor Vehicles (Ambulance) amounting to P3.071 million, which were charged under the Trust Fund;

    c. The location and condition of one (1) ambulance acquired in CY 2018, with a cost of P2.426 million, cannot be determined; and

    d. Property Cards, and Acceptance and Inspection Reports required to be maintained were not kept by the General Services Officer.

    We recommended that the Management require the following:

    A. The Municipal Accountant to record in the books of accounts the costs of the donated ambulances totaling P5,968,775.00 and the additional costs of purchased ambulances amounting to P3,070,740.00. Thereafter, compute the corresponding accumulated depreciation since its receipt until the year-end;

    B. The GSO-Designate to ascertain the current location and condition of the ambulance costing P2,426,200.00 and determine whether the benefit of its use exceeds the cost that could have been incurred in its repair. However, if the vehicle is beyond repair due to the long years of neglect, we recommended that the same be subjected to disposal;

    C. Ensure that all motor vehicles owned and operated by the Local Government Unit are insured to safeguard the government's interests in the event of unforeseen accidents;

    D. Incorporate the donated vehicles in the inventory report to guarantee an accurate record of all motor vehicles;

E. Require the GSO-Designate to increase efforts in the management, receipt and issue of all properties of the Municipality and maintain records required by the aforementioned provisions; and

F. Ensure proper coordination between the Offices of the LGU and the GSO when it comes to the receipt of donated properties to ensure appropriate accounting and property management thereof.

2. Issued properties below the capitalization threshold of P50,000.00, with an aggregate cost of P21.130 million, are still recorded under the Property, Plant and Equipment account, thus, overstating the PPE account as at December 31, 2024.

   We recommended that the Municipal Accountant draw the necessary journal entries to remove from the books the PPE accounts that fall under the classification of semi-expendable items, with a net book value of P3,010,296.44, and close the related Accumulated Depreciation to the appropriate accounts.

   Moreover, we recommended that the required forms, registries and reports be prepared and maintained by the General Services Officer in order to establish accountability over these items and to safeguard them from the risk of improper use and possible loss or theft.

3. Excess balances of fund transfers from NGAs and LGUs totaling to P0.411 million were not returned to the Source Agencies despite the completion of the funds' purpose, and fund transfers totaling to P4.164 million remain unimplemented/unutilized as of December 31, 2024, thus, depriving its constituents the economic benefit that they could have derived therefrom.

   We recommended that the Management immediately prepare the corresponding liquidation documents to be submitted to the source agencies, and return the unutilized balances of the funds in accordance with the above regulation, thus, reduce the liability of the LGU. We also recommended that the Management timely implement the programs or projects funded by the National Government and other LGUs in order to maximize the use of government resources and to promptly deliver the desired socio-economic benefits to its constituents.

4. The Municipality was able to implement 37 out of 42 infrastructure projects programmed under the 20% Development Fund, in which 34 projects were completed and 3 are on-going as of year-end. This is a reflection of a strong commitment of the LGU to bring the benefits of socio-economic development to its constituents.

   We recommended that the Management continue the implementation of the projects funded under the 20% Development Fund and show their commitment in serving the constituents of the Municipality. Further, to ensure timely implementation and completion of development projects, we strongly suggested that the Management

coordinate with the Municipal Planning Development Coordination and Municipal Engineer to carefully plan and schedule each project's implementation. This will pave the way for a more efficient execution of these initiatives.

G. Summary of Total Suspensions, Disallowances, and Charges as of December 31, 2024

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	4,784,568.17	-	-	4,784,568.17	-
Current Year	-	-	-	-	-
Total	4,784,568.17	-	-	4,784,568.17	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

H. Status of Implementation of Prior Year's Audit Recommendations

Out of twelve (12) audit recommendations embodied in the CY 2023 Annual Audit Report, seven (7) were fully implemented, four (4) were partially implemented and one (1) was not implemented.